

Economics, Day 1: Introduction, supply and demand

Main points of this session:

In a nutshell, economics is a series of constrained optimization exercises (which are complex and consider complex factors).

Opportunity cost: every action, or inaction, has a cost in terms of what could have been done instead.

Equilibrium market quantities and market values are defined by Supply and Demand curves.

In Economics, market Efficiency is

Positive analysis is the study of the way things are, while Normative analysis is the study of the way that things should be.

Learning objectives for today:

- Be able to explain what Economics is and identify specific topics within it we will focus on during the camp;
- Define Opportunity Cost and discuss its implications in terms of trade-offs;
- Demonstrate and analyze Supply and Demand curves, learn to define and derive equilibrium;
- Discuss concepts of market value, price, intervention, efficiency and welfare.

Introduction

Economics is the study of scarcity and its implications for the use of resources, production of goods and services, growth of production and welfare over time, and a great variety of other complex issues of vital concern to society.

Microeconomics - the study of how individuals and firms make decisions under scarcity. It is basically a series of constrained optimization exercises.

Macroeconomics - the part of economics concerned with large-scale or general economic factors, such as interest rates and national productivity.

Given all of it, Economics - especially micro - is largely about trade-offs: you cannot have it all, so what do you choose to have the most?

Opportunity cost: every action, or inaction, has a cost in terms of what could have been done instead: by studying Math for an hour, you accept that you will be studying English one hour less than you could have.

Supply and Demand

We will start with an exercise. First, I will try to sell you some candies :)

Demand

Demand Curve measures willingness of consumers to buy a good.

Supply

Supply Curve measures willingness of producers to sell a good.

Equilibrium and market price

Intersection of supply and demand curves has several important properties. In particular, it “clears” the market. We call it equilibrium.

Market equilibrium is a situation where the amount of goods or services sought by buyers is equal to the amount of goods or services produced by sellers. Market equilibrium has equilibrium price and quantity.

Examples

Tender (in Ukraine it is present, for example, when government is buying stuff: державні закупівлі) - provides an ability to buy the good perfectly from the producer who has the lowest cost of production, by paying them the lowest price.

Positive and Normative analysis:

Positive analysis is the study of the way things are, while Normative analysis is the study of the way that things should be.